Grade 9 EMS – Paper 1 Study Notes

Oct 12, 2026 · @troy

Paper 1 (November 2026) is 2 hours for 100 marks. It covers Accounting (debtors and creditors), Business studies, and Economics (demand and supply).

Accounting

Assets, owner's equity, liabilities and debit/credit

Every transaction keeps the accounting equation in balance: **Assets = Owner's equity + Liabilities** (A = OE + L).

The three elements

Element	Meaning	Examples (accounts)
Assets	What the business owns or is owed	Bank, Cash, Equipment, Vehicles, Land and buildings, Trading stock, **Debtors control** (customers who owe us)
Owner's equity	The owner's interest in the business	Capital, Drawings, Income, Expenses (profit increases OE; drawings and expenses decrease it)
Liabilities	What the business owes to outsiders	**Creditors control** (suppliers we owe), Loan, Bank overdraft

Debtors = people who bought from us **on credit** and still owe us money (an asset).
Creditors = suppliers we bought from **on credit** and still owe money to (a liability).

Owner's equity accounts in detail

- **Capital** — what the owner puts into the business. Increases OE.
- **Drawings** — what the owner takes out for personal use (money or stock). Decreases OE.
- **Income** — increases OE: Sales, Current income, Rent income, Interest income, Commission income.
- **Expenses** — decrease OE: Cost of sales, Wages, Water and electricity, Telephone, Rent expense, Stationery, Advertising, Bank charges.

Debit and credit rules

Every transaction affects **at least two accounts**: one is debited, one is credited, for the same amount (double entry).

Account type	Increase	Decrease	Normal balance
Assets	Debit	Credit	Debit
Liabilities	Credit	Debit	Credit
Capital	Credit	Debit	Credit
Income	Credit	Debit	Credit
Expenses	Debit	Credit	Debit
Drawings	Debit	Credit	Debit

Memory trick: **assets, expenses and drawings increase on the debit side**; everything else increases on the credit side.

Analysing a transaction

For each transaction, answer: which accounts? debit or credit? effect on A, OE, L?

Transaction	Debit	Credit	A	OE	L
Owner deposits R50 000 as capital	Bank	Capital	+50 000	+50 000	0
Sold goods on credit to D. Smit, R2 000 (cost R1 200)	Debtors control	Sales	+2 000	+2 000	0
…and the cost of those goods	Cost of sales	Trading stock	−1 200	−1 200	0
Bought trading stock on credit from Max Traders, R5 000	Trading stock	Creditors control	+5 000	0	+5 000
Received R1 500 from debtor D. Smit	Bank	Debtors control	+1 500 / −1 500	0	0
Paid creditor Max Traders R3 000	Creditors control	Bank	−3 000	0	−3 000
Paid wages R4 000	Wages	Bank	−4 000	−4 000	0
Owner took R500 cash for personal use	Drawings	Bank	−500	−500	0

A trading business that uses the **perpetual inventory system** records cost of sales every time it sells: sales at selling price, and cost of sales at cost price.

Mark-up: selling price = cost price + mark-up. A 50% mark-up on cost of R1 200 = R600, so selling price = R1 800. To find cost from selling price: cost = selling price × 100 / (100 + mark-up %).

Journals

A journal is a book of first entry: transactions are recorded from **source documents** in date order, then totalled and posted to the ledgers.

Which journal, which document?

Journal	Records	Source document
CRJ – Cash Receipts Journal	All money **received** (cash sales, money from debtors, capital, income)	Receipt (duplicate), cash register roll (CRR)
CPJ – Cash Payments Journal	All money **paid** by cheque or EFT (to creditors, wages, expenses, cash purchases)	Cheque counterfoil, EFT printout
DJ – Debtors Journal	Goods **sold on credit**	Duplicate invoice
DAJ – Debtors Allowances Journal	Goods **returned by debtors** (or discount allowed to them)	Duplicate credit note
CJ – Creditors Journal	Goods or services **bought on credit**	Original invoice (received)
CAJ – Creditors Allowances Journal	Goods **returned to creditors**	Debit note (duplicate) / original credit note received
GJ – General Journal	Transactions that fit nowhere else (e.g. owner takes stock, corrections, bad debts)	Journal voucher

Original vs duplicate: the business keeps the **duplicate** of a document it issues (receipt, sales invoice, credit note) and the **original** of a document it receives (invoice from a supplier).

Columns of each journal

Debtors Journal (DJ) — Doc no. · Day · Debtor · Fol · **Sales** · **Cost of sales**

- Sales column: Debit Debtors control, Credit Sales.
- Cost of sales column: Debit Cost of sales, Credit Trading stock.

Debtors Allowances Journal (DAJ) — Doc no. · Day · Debtor · Fol · **Debtors allowances** · **Cost of sales**

- The opposite of the DJ: Debit Debtors allowances, Credit Debtors control; Debit Trading stock, Credit Cost of sales (the stock comes back).

Creditors Journal (CJ) — Doc no. · Day · Creditor · Fol · **Creditors control** · **Trading stock** · **Equipment** · **Stationery** · **Sundry accounts** (Amount, Fol, Details)

- Credit Creditors control (total); debit each analysis column.

Creditors Allowances Journal (CAJ) — Doc no. · Day · Creditor · Fol · **Creditors control** · **Trading stock** · **Sundry accounts**

- The opposite of the CJ: Debit Creditors control, Credit Trading stock (or the item returned).

Cash Receipts Journal (CRJ) — Doc no. · Day · Details · Fol · **Analysis of receipts** · **Bank** · **Sales** · **Cost of sales** · **Debtors control** · **Sundry accounts**

- Analysis of receipts = each individual amount; Bank = the total deposited that day.
- Money from a debtor goes in the Debtors control column.

Cash Payments Journal (CPJ) — Doc no. · Day · Name of payee · Fol · **Bank** · **Trading stock** · **Creditors control** · **Wages** · **Sundry accounts**

- Payment to a creditor goes in the Creditors control column.

Worked example (March 2026, Lekker Traders, 50% mark-up on cost)

Date	Transaction	Journal	Entry
3 Mar	Sold goods on credit to A. Petersen, R1 500, invoice 101	DJ	Sales R1 500; Cost of sales R1 000
5 Mar	A. Petersen returned goods sold for R300, credit note 21	DAJ	Debtors allowances R300; Cost of sales R200
8 Mar	Bought stock on credit from Bulk Ltd, R4 000, invoice BL55	CJ	Creditors control R4 000; Trading stock R4 000
10 Mar	Returned damaged stock to Bulk Ltd, R400, debit note 7	CAJ	Creditors control R400; Trading stock R400
15 Mar	Received R800 from A. Petersen, receipt 45	CRJ	Analysis R800; Bank R800; Debtors control R800
20 Mar	Paid Bulk Ltd R2 000 by EFT	CPJ	Bank R2 000; Creditors control R2 000

Cost price from a 50% mark-up: R1 500 × 100/150 = R1 000.

Common mistakes

- Cash sales go in the **CRJ**, not the DJ. Cash purchases go in the **CPJ**, not the CJ.
- Forgetting the cost of sales column on sales and returns.
- Putting the debtor's or creditor's **name** in the General Ledger — individual names belong in the subsidiary ledgers only.

Ledgers

The General Ledger holds the **control** totals; the Debtors and Creditors Ledgers hold the **individual** accounts behind those totals. At month-end they must agree.

General Ledger (GL)

- Has a T-account for every asset, liability, owner's equity, income and expense account.
- Divided into **Balance sheet accounts section** (assets, liabilities, capital, drawings) and **Nominal accounts section** (income and expenses).
- Journals are posted to the GL as **monthly totals** (e.g. *Debtors control Dr R12 000, DJ*). Sundry amounts are posted individually.

- Each entry shows: date · **contra account** (the other account affected) · folio (journal it came from, e.g. DJ3) · amount.

Example — Debtors control:

Dr				Cr			
2026 Mar 1	Balance	b/d	5 000	2026 Mar 31	Debtors allowances	DAJ	300
31	Sales	DJ	12 000		Bank	CRJ	8 000
					Balance	c/d	8 700
			17 000				**17 000**
Apr 1	Balance	b/d	8 700				

Debtors Ledger

- One account per debtor (e.g. *A. Petersen*), in **three-column format**: Debit · Credit · Balance.
- Posted **individually and daily** from the DJ (debit), DAJ (credit) and CRJ (credit).
- The balance is a debit balance (they owe us).

Date	Details	Fol	Debit	Credit	Balance
Mar 1	Balance	b/d			1 200
3	Invoice 101	DJ	1 500		2 700
5	Credit note 21	DAJ		300	2 400
15	Receipt 45	CRJ		800	1 600

Creditors Ledger

- One account per creditor (e.g. *Bulk Ltd*), three-column format.
- Posted individually and daily from the CJ (credit), CAJ (debit) and CPJ (debit).
- The balance is a credit balance (we owe them).

Posting rules at a glance

Journal	Debtors / Creditors Ledger	General Ledger (monthly totals)
DJ	Debit each debtor	Dr Debtors control, Cr Sales; Dr Cost of sales, Cr Trading stock

Journal	Debtors / Creditors Ledger	General Ledger (monthly totals)
DAJ	Credit each debtor	Dr Debtors allowances, Cr Debtors control; Dr Trading stock, Cr Cost of sales
CRJ	Credit each debtor who paid	Dr Bank; Cr Debtors control, Sales, sundry
CJ	Credit each creditor	Cr Creditors control; Dr Trading stock, Equipment, etc.
CAJ	Debit each creditor	Dr Creditors control; Cr Trading stock, etc.
CPJ	Debit each creditor paid	Cr Bank; Dr Creditors control, Wages, etc.

Balancing and the lists

- **Balance a T-account:** add the bigger side, write that total on both sides, put the difference as *Balance c/d* on the smaller side, then bring it down as *Balance b/d* on the opposite side on the 1st of the next month.
- **Debtors list:** all individual debtors' balances added up. It must equal the **Debtors control** balance in the GL.
- **Creditors list:** all individual creditors' balances. It must equal the **Creditors control** balance in the GL.
- If they don't agree, look for posting errors: an amount posted to the wrong side, posted twice, left out, or numbers swapped (e.g. 540 written as 450).

Trial balance

A list of all GL account balances at month-end: debit balances in one column, credit balances in the other. If the totals are equal, the double entry is arithmetically correct (it can still contain errors such as posting to the wrong account).

Business studies

Primary, secondary and tertiary sectors

The economy is divided into three sectors according to what businesses do with natural resources. Together they form a chain: raw material → product → service to the consumer.

Sector	What it does	Examples of industries	SA examples
Primary	Takes raw materials directly from nature	Farming, mining, fishing, forestry, hunting	Wheat farm in the Swartland, gold mine in Gauteng, fruit farm in Paarl
Secondary	Turns raw materials into finished or semi-finished products (manufacturing, construction, processing)	Factories, construction, energy generation, food processing	Bakery, wine cellar, car assembly plant, Eskom power station
Tertiary	Provides services; moves and sells goods	Retail, transport, banking, insurance, tourism, education, health	Supermarket, taxi, bank, hotel, hospital, school

Example of the chain: bread

1. **Primary:** a farmer grows wheat.
2. **Secondary:** a mill turns wheat into flour; a bakery bakes bread.
3. **Tertiary:** a truck transports the bread; a supermarket sells it to you.

Key points

- The sectors **depend on each other**: without primary there is no raw material; without tertiary the products don't reach consumers.
- Some people add a **quaternary sector** (knowledge and information: research, IT). It is part of tertiary at Grade 9 level.
- In South Africa the **tertiary sector** contributes the most to GDP and employment; mining and farming remain important for exports and rural jobs.
- **Formal sector:** registered businesses that pay tax. **Informal sector:** small, unregistered businesses (e.g. a street vendor, spaza shop).

The 8 business functions

Every business, big or small, performs eight functions. In a small business the owner may do them all; in a large business each has its own department.

Memory aid: **G A F P P M P H** — *General Administrators Find Pupils Producing Marvellous Public Hits*.

Function	What it does	Examples of activities
1. General management	Coordinates all the other functions; sets goals and makes decisions	Planning, organising, leading, controlling (the four management tasks)
2. Administration	Collects, processes and stores information	Filing, record keeping, typing letters, answering phones, managing computer systems
3. Financial	Manages the money of the business	Raising capital, budgeting, bookkeeping, paying accounts, investing surplus funds
4. Purchasing	Buys the goods and materials the business needs	Finding suppliers, comparing prices and quality, ordering at the right time and quantity, managing stock
5. Production	Turns raw materials into finished goods or provides the service	Manufacturing, quality control, planning production, maintaining machinery
6. Marketing	Identifies customer needs and sells the product	Market research, advertising, pricing, packaging, distribution (the **4 Ps**: Product, Price, Place, Promotion)
7. Public relations	Builds a good image of the business with the public	Sponsorships, social responsibility projects, media releases, handling complaints
8. Human resources	Manages the employees	Recruiting, selecting and appointing staff, training, salaries, labour relations, employee wellness

Key points

- The functions **depend on each other**: e.g. production cannot work if purchasing does not buy materials on time; marketing needs finance for advertising.
- **General management** is the most important because it coordinates the others.

- **Marketing vs public relations:** marketing sells the **product**; public relations promotes the **image** of the business.
- **Purchasing vs production:** purchasing buys inputs; production uses them.

The four management tasks (general management)

1. **Planning** — set goals and decide how to reach them.
2. **Organising** — arrange people and resources to carry out the plan.
3. **Leading** — motivate and guide employees.
4. **Controlling** — check that goals are met and correct problems.

The business plan

A business plan is a written document that describes the business, its goals and how it will reach them. It is needed **before** starting a business.

Why write a business plan?

- To get **finance**: banks and investors want to see it before lending money.
- To test whether the idea is **viable** (will it make a profit?).
- To set clear **goals** and a plan of action.
- To identify **risks** and problems early.
- To measure progress later.

Contents of a business plan

Section	What it contains
1. Cover page and executive summary	Business name, logo, contact details; a short summary of the whole plan (written last, read first)
2. Description of the business	What the business does, the product or service, vision and mission, goals, form of ownership (e.g. sole trader, partnership, company)
3. Market research / analysis	Target market (who the customers are), size of the market, competitors and their strengths and weaknesses

Section	What it contains
4. SWOT analysis	Strengths and Weaknesses (internal), Opportunities and Threats (external)
5. Marketing plan	The 4 Ps: Product, Price, Place (location and distribution), Promotion (advertising)
6. Production plan	How the product is made or service delivered, equipment, raw materials, suppliers, location
7. Management and staff (human resources)	Owners and managers, their skills, number of employees, organisational structure
8. Financial plan	Start-up costs, sources of capital, budget, projected income and expenses, break-even point, cash flow

SWOT analysis

	Helpful	Harmful
Internal (inside the business, can control)	**Strengths** — e.g. skilled staff, good location	**Weaknesses** — e.g. little capital, no experience
External (outside, cannot control)	**Opportunities** — e.g. no competitor nearby, growing demand	**Threats** — e.g. load shedding, new competitor, rising prices

Key terms

- **Vision:** where the business wants to be in the future.
- **Mission:** what the business does and how, to achieve its vision.
- **Goals:** specific targets — should be **SMART** (Specific, Measurable, Achievable, Realistic, Time-bound).
- **Target market:** the group of customers the business aims to sell to.
- **Break-even point:** the number of units at which income equals total costs (no profit, no loss).

Economics

Demand and supply

Prices in a market economy are set where the quantity buyers want (demand) meets the quantity sellers offer (supply).

Demand

Demand is the quantity of a product consumers are **willing and able** to buy at different prices over a period of time.

Law of demand: as price **rises**, quantity demanded **falls**; as price falls, quantity demanded rises (all other things being equal). The demand curve slopes **downwards** from left to right.

Factors that change demand (shift the curve):

- Income of consumers (more income → more demand)
- Prices of related goods: **substitutes** (if butter gets expensive, demand for margarine rises) and **complements** (if cars get cheaper, demand for petrol rises)
- Tastes, fashion and advertising
- Size of the population
- Expectations about future prices
- Season and weather (more ice cream in summer)

Supply

Supply is the quantity of a product producers are **willing and able** to sell at different prices over a period of time.

Law of supply: as price **rises**, quantity supplied **rises**; as price falls, quantity supplied falls (producers earn more profit at higher prices). The supply curve slopes **upwards** from left to right.

Factors that change supply (shift the curve):

- Cost of production (raw materials, wages, electricity, fuel) — higher costs → less supply
- Technology — better technology → more supply
- Number of producers in the market
- Weather and natural disasters (especially for farm products)
- Government taxes (decrease supply) and subsidies (increase supply)

Market equilibrium

Equilibrium is the point where quantity demanded = quantity supplied. The price there is the **equilibrium (market) price**.

Example demand and supply schedule for bottles of juice:

Price (R)	Quantity demanded	Quantity supplied	Situation
25	100	500	Surplus of 400
20	200	400	Surplus of 200
15	**300**	**300**	**Equilibrium**
10	400	200	Shortage of 200
5	500	100	Shortage of 400

- **Surplus (excess supply):** price is above equilibrium; sellers can't sell everything, so they **lower** prices.
- **Shortage (excess demand):** price is below equilibrium; buyers compete for goods, so prices **rise**.
- The market keeps moving towards the equilibrium price.

Drawing the graph

1. Vertical axis (y) = **Price**; horizontal axis (x) = **Quantity**.
2. Plot demand (D) from the schedule: a line sloping **down**.
3. Plot supply (S): a line sloping **up**.
4. Where they cross = equilibrium (E). Draw dotted lines to each axis and label the price (Pe) and quantity (Qe).
5. Give the graph a heading and label all axes and curves.

Movement along vs shift of the curve

	Caused by	On the graph
Movement along the curve (change in quantity demanded/supplied)	A change in the product's **own price** only	Move up or down the same curve

	Caused by	On the graph
Shift of the curve (change in demand/supply)	Any **other factor** (income, costs, tastes, technology, etc.)	The whole curve moves: **right** = increase, **left** = decrease

Effect of shifts on equilibrium

Change	Equilibrium price	Equilibrium quantity
Demand increases (D shifts right)	Rises	Rises
Demand decreases (D shifts left)	Falls	Falls
Supply increases (S shifts right)	Falls	Rises
Supply decreases (S shifts left)	Rises	Falls

Example: a drought destroys maize crops → supply of maize decreases (S shifts left) → price of maize meal rises and less is sold.

Key terms

- **Market:** any place or way buyers and sellers meet to exchange goods (a shop, online, the JSE).
- **Price mechanism:** the way demand and supply set prices in a free market.
- **Maximum price (price ceiling):** set by government below equilibrium to protect consumers (e.g. petrol, bread); can cause shortages.
- **Minimum price (price floor):** set above equilibrium to protect producers or workers (e.g. minimum wage); can cause surpluses.